

Unit-2

Planning

Planning is a fundamental management function aimed at setting objectives, determining the methods to achieve those objectives, and mobilizing resources effectively to accomplish them.

It is the function of management that involves setting objectives and determining a course of action for achieving those objectives.

Here's a breakdown of each aspect of planning:

- Nature
- Purpose

Nature of planning

Planning involves setting objectives, identifying actions to achieve those objectives, and allocating resources effectively.

Planning is the process of deciding in advance what is to be done, what is to be done, who is to do it and how it is to be done and when it is to be done. The determination of a course of action to achieve the desired result and bridges the gap from where we are to, Where we want to go.

Purpose of planning

The purpose of planning is to provide a framework for decision-making, to minimize uncertainty and risk, to coordinate activities, and to ensure resources are utilized efficiently.

Helps to build a roadmap to achieve the goals of the organisation and directs all activities towards that course of action.

Steps involved in Planning:

1. **Establishing Objectives:** Clearly define the goals and objectives to be achieved.
2. **Developing Premises:** Identify and analyze the assumptions and factors that may influence the planning process.
3. **Identifying Alternatives:** Generate various courses of action to achieve the objectives.
4. **Evaluating Alternatives:** Assess the pros and cons of each alternative in relation to the objectives.
5. **Selecting an Alternative:** Choose the most suitable course of action.
6. **Formulating Supporting Plans:** Develop detailed plans, such as budgets, schedules, and policies, to support the chosen alternative.
7. **Implementing the Plan:** Put the plan into action by allocating resources and assigning tasks.
8. **Monitoring and Controlling:** Continuously assess progress, compare it to the plan, and make adjustments as necessary.

Objectives

Objective refers to the primary goal of a management team or system.

Objectives are specific, measurable targets that an organization aims to achieve within a certain timeframe. They provide direction and serve as a basis for evaluating performance.

Setting Objectives

Objectives should be SMART: Specific, Measurable, Achievable, Relevant, and Time-bound. They should also align with the organization's mission and strategic goals. Key points:

- Simplify your goals.
- Ensure your goals are specific.
- Explain your objectives to the right members.
- Ensure your goal is measurable.
- Divide your goal into smaller goals.
- Recognize every step of the process.
- Motivate your employees toward realistic goals.

Process of Management by Objectives (MBO)

MBO is a management technique that involves setting specific objectives for each employee and then periodically reviewing their performance against those objectives.

Management by Objectives (MBO) is a management approach that emphasizes the setting of specific objectives for each employee and then monitoring and evaluating their performance based on the achievement of those objectives.

Management by Objectives (MBO) provides a structured framework for goal setting, performance management, and employee development, ultimately contributing to organizational success.

1. **Setting Objectives:** In MBO, managers and employees collaborate to set clear, specific, measurable, achievable, relevant, and time-bound (SMART) objectives. These objectives are aligned with the organization's overall goals and priorities.
2. **Participative Goal Setting:** MBO encourages participative goal setting, meaning employees have a say in defining their objectives. This fosters ownership, commitment, and motivation to achieve the goals.
3. **Action Planning:** Once objectives are set, action plans are developed outlining the steps, resources, and timelines required to accomplish them. This ensures clarity on how the objectives will be achieved.
4. **Implementing the Plan:** Employees execute their action plans, working towards achieving their objectives. Managers provide support, guidance, and resources as needed to facilitate goal attainment.
5. **Monitoring Progress:** Managers monitor employees' progress towards their objectives regularly. This may involve periodic check-ins, performance reviews, or other forms of assessment to track how well employees are progressing.

6. **Performance Appraisal and Feedback:** At the end of the performance period, managers conduct formal performance appraisals to evaluate employees' performance against their objectives. Feedback is provided on strengths, areas for improvement, and any necessary adjustments to objectives.
7. **Rewards and Recognition:** Employees who successfully achieve their objectives may be rewarded or recognized for their performance. This can include bonuses, promotions, or other incentives to reinforce desired behaviors and motivate continued high performance.
8. **Review and Adjustment:** MBO is a continuous process, and objectives may need to be reviewed and adjusted periodically based on changes in the business environment, priorities, or individual performance. This ensures that the organization remains agile and responsive to evolving needs and circumstances.

Strategies

Strategies are broad plans of action designed to achieve long-term goals. They involve making choices about resource allocation and focus on gaining a competitive advantage.

Strategic planning is a process in which an organization's leaders define their vision for the future and identify their organization's goals and objectives. The process includes establishing the sequence in which those goals should be realized so that the organization can reach its stated vision.

Policies & Planning Premises

Policies are guidelines or principles that dictate organizational behavior and decision-making.

Planning premises are assumptions about the future that serve as a basis for planning. They include factors such as market conditions, technological advancements, and regulatory changes.

Policies are guides to thinking in decision making. They reflect and interpret objectives and guide decisions to achieve the objectives. They establish the framework for planning programs. They establish limits or boundaries to plans whereas planning premises provide the operational background.

Competitor Intelligence

Competitive intelligence refers to the ability to gather and use information on factors that affect a company's competitive advantage. Organizations analyze collected data and information to develop effective and efficient business practices.

Competitor intelligence involves gathering and analyzing information about competitors' strategies, strengths, weaknesses, and market positions to gain a competitive edge.

Benchmarking

Benchmarking means identifying the best practices (achieved results) of industry leaders and then comparing your own business performance with them. A benchmark can help in virtually all areas of your business and be a useful tool in a business's program of continuous improvement.

Benchmarking involves comparing an organization's processes, products, or performance against those of industry leaders or competitors to identify areas for improvement.

Forecasting

Forecasts help anticipate change within the market.

Forecasting refers to the practice of predicting what will happen in the future by taking into consideration events in the past and present. Basically, it is a decision-making tool that helps businesses cope with the impact of the future's uncertainty by examining historical data and trends.

Forecasting involves predicting future trends, events, or outcomes based on past data, current conditions, and expert judgment. It helps organizations anticipate changes and make informed decisions.

Decision-Making

Decision-making is the process of selecting a course of action from among various alternatives. It involves identifying problems, generating options, evaluating alternatives, and making choices based on available information and analysis.

The purpose of planning and decision making is to setting organizations goals.

Scope of Directing

Directing involves guiding and overseeing the activities of subordinates to achieve organizational goals effectively. It includes providing instructions, motivating employees, resolving conflicts, and communicating expectations.

Human Factors

Human factors in directing refer to understanding and managing human behaviour, motivation, and dynamics within the workplace. This includes factors such as individual differences, motivation theories, group dynamics, and organizational culture.

Creativity and Innovation

Effective directing involves fostering creativity and innovation among team members to drive continuous improvement and adaptability within the organization. This may include encouraging idea generation, providing resources for experimentation, and creating a supportive environment for risk-taking.

Harmonizing Objectives

Directing aims to align individual and organizational objectives to ensure that everyone is working towards common goals. This requires clear communication, goal-setting, and monitoring progress to maintain alignment and coherence across different levels of the organization.

Leadership

Leadership encompasses the ability to inspire, influence, and guide others towards shared objectives. It involves traits, behaviours, and skills that enable individuals to mobilize and motivate others effectively.

Leadership is the ability of an individual or a group of people to influence and guide followers or members of an organization, society or team. Leadership often is an attribute tied to a person's title, seniority or ranking in a hierarchy.

Leadership provides direction for a company and its workers. Employees need to know the direction in which the company is headed and who to follow to reach the destination.

Leadership involves showing workers how to effectively perform their responsibilities and regularly supervising the completion of their tasks.

Types of Leadership/ Types of Leadership Styles

1. Democratic Leadership:
In this style, decision-making is decentralized, and input from group members is valued. The leader encourages participation, listens to opinions, and considers input from team members before making decisions. This approach fosters collaboration, creativity, and a sense of ownership among team members.
2. Autocratic Leadership:
Autocratic leaders make decisions independently without seeking input from subordinates. They have full control over the team and dictate tasks and procedures. This style can be efficient in situations where quick decisions are needed or in environments where strict control is necessary, but it may lead to low morale and reduced motivation among team members.

3.	Laissez-Faire Leadership:
	Laissez-faire leaders adopt a hands-off approach and delegate authority to subordinates to make decisions and manage tasks autonomously. They provide minimal guidance and supervision, allowing employees to take initiative and exercise their creativity. While this style can foster innovation and independence, it may also result in a lack of direction and coordination if not managed effectively.
4.	Strategic Leadership:
	Strategic leaders focus on setting a clear vision and direction for the organization, aligning strategies with long-term goals, and making decisions that drive sustainable growth and competitive advantage. They analyze market trends, anticipate challenges, and adapt strategies accordingly to position the organization for success in the future.
5.	Transformational Leadership:
	Transformational leaders inspire and motivate followers to achieve extraordinary results by appealing to their values, emotions, and aspirations. They foster a sense of purpose and commitment among team members, encourage innovation and change, and empower others to reach their full potential. This style emphasizes vision, charisma, and individualized consideration.
6.	Transactional Leadership:
	Transactional leaders focus on maintaining order and efficiency by setting clear expectations, establishing rewards and consequences based on performance, and monitoring compliance with rules and procedures. They emphasize the exchange of rewards for meeting objectives and may use contingent rewards or corrective actions to motivate employees.
7.	Coaching Leadership:
	Coaching leaders focus on developing the skills and abilities of their team members through guidance, feedback, and support. They act as mentors, providing constructive criticism, encouragement, and opportunities for learning and growth. This style emphasizes personal development, skill-building, and continuous improvement.
8.	Bureaucratic Leadership:
	Bureaucratic leaders adhere strictly to rules, regulations, and established procedures. They prioritize stability, consistency, and conformity to organizational norms. While this style can ensure consistency and predictability, it may also stifle innovation and flexibility if applied rigidly.

Directing Managers as leaders

Managers play a crucial role as leaders within organizations, responsible for directing and guiding their teams towards achieving organizational objectives while also overseeing day-to-day operations and managing resources.

Managers who lead others effectively also exercise the basics of good management practice (coaching, delegating, planning, goal setting, motivating employees) on a day-to-day basis. Consequently, the smooth, efficient day-to-day operation of their group allows them to also be effective leaders.

Early Leadership Theories

Early leadership theories include trait theories, which focus on identifying inherent qualities of effective leaders, and behavioural theories, which emphasize the behaviours and actions of leaders in different situations.

Trait Theories

The trait theory of leadership suggests that **certain inborn or innate qualities and characteristics make someone a leader**. These qualities might be personality factors, physical factors, intelligence factors, and so on.

Behavioural Theories

The behavioural leadership theory is a management theory that evaluates leaders according to their behaviours, actions and management style. This philosophy proposes that all you require to become an influential leader is to adopt a specific set of behaviours.

Behavioural learning theory is **a branch of psychology that focuses on how people learn through their interactions with the environment**. It is based on the idea that all behaviors are acquired through conditioning, which is a process of reinforcement and punishment.

Managerial Grid

Developed by Robert R. Blake and Jane Mouton, this theory focuses on two dimensions of leadership behaviour: concern for people and concern for production. It categorizes leadership styles into five types based on different combinations of these two concerns.

A graphical representation of the Managerial Grid. This model originally identified five different leadership styles based on the concern for people and the concern for production.

The grid is divided into five possible leadership styles:

- Country club leader.
- Impoverished leader.
- Middle-of-the-road leader.
- Team leader.
- Produce or perish leader.

Contingency Theories of Leadership

These theories suggest that the effectiveness of a leader is contingent upon various factors such as the situation, the characteristics of the followers, and the task at hand. Examples include Fiedler's Contingency Model and Hersey-Blanchard's Situational Leadership Theory.

The contingency theory of leadership states that effective leadership is contingent upon the situation at hand. Essentially, it depends on whether an individual's leadership style befits the situation. According to this theory, someone can be an effective leader in one circumstance and an ineffective leader in another.

The contingency theory of leadership supposes that a leader's effectiveness is contingent on whether or not their leadership style suits a particular situation. According to this theory, an individual can be an effective leader in one circumstance and an ineffective leader in another one.

Directing Path Goal Theory

Path-Goal theory states that a good leader provides clear direction, sets high goals, gets involved in goal achievement and supports his employees.

Developed by Robert House, this theory states that a leader's effectiveness is contingent upon the extent to which they clarify the paths to goals and provide the necessary guidance and support to ensure that followers achieve their goals.

The directive path-goal clarifying leader behavior refers to situations where the leader lets followers know what is expected of them and tells them how to perform their tasks.

Contemporary views of Leadership

Contemporary perspectives on leadership emphasize the importance of adaptive and flexible leadership styles, emotional intelligence, ethical considerations, and the ability to navigate complex and dynamic environments.

Contemporary approaches to leadership include transformational leadership, leader-member exchange, servant leadership, and authentic leadership.

Substitutes of Leadership

This theory suggests that certain factors in the work environment can act as substitutes for leadership, reducing the importance of direct supervision. Examples include highly structured tasks, cohesive work groups, and clear organizational goals.

This theory suggests that certain characteristics or aspects of the work environment can substitute for the need for direct leadership or supervision. Instead of relying solely on leadership behaviours, these factors can independently contribute to employee motivation, satisfaction, and performance.

Cross Cultural Leadership

This area of study examines how leadership styles and behaviours vary across different cultures and how leaders can effectively lead diverse teams in multicultural settings.

It is a type of leadership that can keep individuals from different cultures together, direct them towards a common goal, and also enable them to reveal their individual talents. Cross-Cultural Leadership: Managing Diversity.



Leadership Training

Leadership development is the process which helps expand the capacity of individuals to perform in leadership roles within organizations. Leadership roles are those that facilitate execution of an organization's strategy through building alignment, winning mindshare and growing the capabilities of others.

It focuses on equipping individuals with the knowledge, strategies, and tools required to effectively lead and inspire others. Leadership training typically covers a wide range of topics, including effective communication, problem-solving, decision-making, team building, conflict resolution, and strategic planning.

Refers to programs and interventions designed to develop and enhance leadership skills and competencies among individuals. This can include formal education, workshops, coaching, and experiential learning opportunities.

What are the 5 trait approach to leadership?

Some traits that are consistently related to leadership include intelligence (both mental ability and emotional intelligence), personality (extraversion, conscientiousness, openness to experience, self-esteem), and integrity.